there is no prior announcement. When the road is built, people will benefit from it whether or not they knew about it in advance. It is different with monetary policy. If people know in advance how inflation and unemployment will unfold on the way forward, they will change their behaviour in ways that will be supportive of these outcomes. For example, if workers expect lower inflation, they will demand lower wage rises that will keep costs low and prices subdued, thereby actually delivering the low inflation outcome that the central bank wants. This type of behavioural response reinforces the need for central bank communication to shape expectations for the way forward.

The third factor that chipped away at the restraint of central banks towards more open communication was that the conventional wisdom about being reticent during crisis times turned on its head. Contrary to the notion of the 1930s depicted by Liaquat Ahamed, modern central bankers have found that in an atmosphere of anxiety and uncertainty, levelling with the markets—far from stoking fears—had actually helped to allay concerns and bolstered confidence. The difference arises from the vast changes between the 1930s and today by way of global integration and communication technology. Market participants today attach enormous value to knowing the true state of the economy and of the financial sector, no matter that it might be bad, as it allows them to make the necessary adjustment.

This is best illustrated by the dilemma that Bernanke talks about in his book, *The Courage to Act*, on the issue of releasing the results of the bank stress tests that the US regulators had conducted in the aftermath of the crisis. On one side, he writes, there were apprehensions that disclosing banks' weakness could further erode confidence, possibly leading to new runs and even sharper decline in bank stock prices. On the other hand, there was the prospect that releasing as much information as possible would reduce the 'paralyzing uncertainty' about banks' financial health. In the event, releasing the results in full had a salutary impact on confidence in the US banking system, a clear reinforcement of the new orthodoxy about central bank communication during stress times.